

Title: Risk Management Policy

Overview:

This document outlines the framework for managing financial risks including market risk, credit risk, and operational risk.

Market Risk:

Market risk arises from fluctuations in stock prices, interest rates, and foreign exchange rates.

Credit Risk:

Credit risk refers to the possibility that a borrower will default on their financial obligations.

Mitigation Strategies:

- Diversification of investments
- Credit scoring models
- Hedging using derivatives

Compliance:

The organization must comply with Basel III regulations.

Conclusion:

Risk management is critical to maintaining financial stability.